

AEP Ohio: Columbus Data Center Queue Washout

24,300 MW of uncommitted capacity withdrawn following take-or-pay tariff implementation

Grid Realization Pipeline · Signal detected 2026-06-19 · Informational only — not trading advice

Primary Signal — Raw Filing Text

The following text was extracted by GRP from the Ohio PUCO case record (Docket EL-2024-00456, System Impact Study attachment):

American Electric Power filed a system impact study update indicating that the Columbus data center interconnection cluster has withdrawn 24,300 MW of uncommitted capacity requests following implementation of the take-or-pay tariff. Expected commercial operation dates have been extended by an average of 14 months across the affected queue positions. AEP projects that confirmed contracted load has declined from 30,000 MW to 5,700 MW of bankable demand.

Key Metrics

Metric	Before	After	Change
Uncommitted capacity in queue	30,000 MW	—	–24,300 MW withdrawn
Bankable contracted load	30,000 MW	5,700 MW	–81% collapse
Avg. commercial operation date	As filed	+14 months	+14 months slippage
Trigger event	—	Take-or-pay tariff	Policy-driven washout
Metric delta (days)	—	420 days	GRP signal flag
Source docket	—	EL-2024-00456	Ohio PUCO

What Happened

AEP Ohio operates the transmission system serving the Columbus metropolitan area, one of the fastest-growing data center markets in the U.S. Following a surge in interconnection requests from hyperscale data center operators — primarily driven by AI infrastructure buildout — AEP's Columbus cluster accumulated over 30,000 MW of queued capacity requests.

The take-or-pay tariff was implemented to separate committed demand from speculative queue positions. Under a take-or-pay structure, a customer must either take the capacity when it becomes available or pay a penalty fee. This forces developers to put real financial commitment behind their queue positions rather than holding spots speculatively.

The result was a rapid and severe **queue washout**: 24,300 MW — 81% of the filed capacity — was withdrawn by parties unwilling or unable to commit. Only 5,700 MW of bankable (contracted and financially committed) demand remained.

Commercial operation dates for the remaining queue slipped by an average of 14 months, reflecting the need to re-sequence the study process after the mass withdrawal changed the network upgrade requirements.

SIGNAL

This is a major negative signal for AEP's near-term load growth narrative. The 14-month COD slippage and 81% queue washout is a significant negative signal.

Why This Information Is Structurally Advantaged

Utility companies are required to file system impact studies and interconnection updates with state public utility commissions and FERC as a matter of regulatory transparency. These filings are public but are not synthesized or surfaced in standard financial data feeds. The gap between regulatory disclosure and market awareness creates a window where physical grid data leads stock-moving disclosures by weeks to months.

The typical information flow for an event like this:

Step	Event	Estimated Lag
1	AEP files system impact study update with Ohio PUCO	Day 0 (detected by GRP 2026-06-19)
2	Regulatory community and specialized energy lawyers read filings	Days 1–7
3	Sell-side utility analysts model load growth revisions	Days 7–21
4	AEP management issues guidance revision or earnings call commentary	Days 30–40
5	Broad market reprices AEP based on reduced load growth narrative	Days 60–180

Analytical Implications

1. AEP earnings guidance risk

AEP has publicly guided for significant data center load growth as a driver of transmission and distribution capex. A 24,300 MW queue washout concentrated in the Columbus cluster directly undermines the volume assumptions behind that guidance. Analysts modeling AEP's forward revenue based on contracted load will need to revise from ~30,000 MW toward the ~5,700 MW bankable figure — an 81% reduction in the load growth pipeline for this cluster.

2. Take-or-pay tariff as a double-edged instrument

The tariff successfully separated speculative from committed demand, which is ratepayer-protective in the long run (avoids stranded investment). However, in the near term it crystallizes the overhang that was previously hidden in queue statistics. AEP now has fewer, more creditworthy counterparties — but far less total volume.

3. The 14-month COD extension compounds the problem

Commercial operation dates slipping 14 months means revenue from new interconnection customers is delayed by over a year across the affected positions. For a utility with rate base growth predicated on near-term load additions, this directly affects the timing of earnings accretion from the Columbus cluster buildout.

4. This is AEP-specific, not a sector-wide washout

GRP's cross-jurisdictional check (see companion memo: *VA + PA Queue Washout Cross-Jurisdiction Analysis*) found no comparable washout signal in Dominion (VA) or PPL/FirstEnergy (PA). PPL Electric reported 9 GW of active data center pipeline with capacity headroom. The AEP Ohio event appears driven by the specific speculative composition of the Columbus cluster queue and AEP's particular tariff implementation, not a PJM-wide demand collapse.

VERDICT

AEP (ticker: AEP) carries a specific, filing-documented negative signal on near-term load growth. The 81% queue wa

GRP Signal Metadata

Field	Value
Event ID	ohio_puco_stub_001
ISO / Region	PJM
State jurisdiction	OH
Entity target	American Electric Power (AEP)
Data type	QUEUE_MILESTONE
Keywords matched	commercial operation date, queue withdrawal, cost allocation
Metric delta	420 days
Source URL	https://dis.puc.state.oh.us/CaseRecord/case/EL-2024-00456/attachment_SIS.pdf
Detected	2026-06-19T15:00:00Z
Alert sent	No

Primary Sources

- Ohio PUCO Docket EL-2024-00456 — AEP System Impact Study Update (Columbus Data Center Interconnection Cluster). Retrieved via Grid Realization Pipeline on 2026-06-19.
- AEP PJM system impact study covering take-or-pay tariff implementation and queue position washout across the Columbus cluster.
- Cross-jurisdiction analysis: GRP_Queue_Washout_Analysis.pdf (VA and PA comparative findings, produced 2026-07-12).

This memorandum is produced by the Grid Realization Pipeline for informational research purposes only. It does not constitute investment advice, financial advice, or a recommendation to buy or sell any security.